

Evergreen Environmental LLC

420 Green Valley Rd, Portland, OR 97219 | Confidential Internal Document

WORKFORCE REDUCTION IMPACT ASSESSMENT

Period Ending: November 11, 2025 | Report ID: RPT-CRIT-5628991

EXECUTIVE SUMMARY

CRITICAL FINANCIAL DISTRESS. Revenue has collapsed by 32% following the loss of two anchor clients representing 41% of total ARR. The company is currently in breach of its debt covenants. Lender negotiations are underway. The Board has appointed a Chief Restructuring Officer and is evaluating all strategic options including a potential sale, recapitalisation, or managed wind-down of non-core business units.

KEY PERFORMANCE INDICATORS

Metric	Current Period	Prior Period	Variance	Status
Revenue (\$M)	109.19	160.57	-32%	CRITICAL
EBITDA Margin (%)	18.3	35.1	-16.8 pts	At Risk
Customer Retention (%)	74.5	98.6	-24.1%	CRITICAL
New Customer Acquisition	167	292	-125	CRITICAL
Employee Satisfaction	52/100	91/100	-39 pts	CRITICAL

RECOMMENDED CORRECTIVE ACTIONS

- Engage a Tier-1 management consulting firm to conduct a 60-day operational review and present a prioritised cost-reduction roadmap to the Board by the end of Q3.
- Implement an immediate hiring freeze and discretionary spend moratorium pending completion of the operational review. CFO to report weekly cash position to the Board.
- Initiate a structured outreach programme to top 20 at-risk accounts with executive sponsorship and tailored retention offers, targeting a churn reduction of at least 15% within 90 days.
- Commission an independent valuation of all non-core business units to identify potential divestiture candidates that could generate liquidity of \$15–25M within 6 months.
- Convene an emergency all-hands leadership meeting within 5 business days to communicate the performance shortfall, outline the recovery plan, and address workforce concerns.

Prepared by: Valentina Russo, Chief Strategy Officer

Approved by: _____ | Date: November 14, 2025

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